A Tale of Two Financial Collapses

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Abstract

The contours of the financial collapse of Silicon Valley Bank and FTX are similar: management oversights and a failure to hedge against sudden price moves led to a typical run-on-the bank phenomenon. The Bank collapse cost the FDIC $20 billion, while the FTX collapse imposed no socialized losses, with all qualified claims paid with interest from FTX assets. Despite the greater social harm, no criminal prosecution was launched against Silicon Valley Bank. Yet with unprecedented speed, the government secured a 25-year sentence on Sam Bankman-Fried, while evidence of the FTX terms of service permitting his actions was kept from the jury.

In what one commentator has called one of "the most successful bankruptc[ies] in American history,"[1] FTX announced this year that all qualified FTX customer claims would be repaid in full with 18 percent interest, even after paying the lawyers and other professionals who have overseen the bankruptcy more than a $1 billion in fees.

We were not surprised by this. As we wrote a year and a half ago, the Debtors' own analysis showed that even at its lowest point during the run on the exchange in the fall of 2022, FTX had sufficient assets to cover its customer deposits.[2] What it lacked was sufficient *liquid* assets to do so on the spot, after a two-day run on the exchange used up all $5 billion of cash and cash equivalents on hand. By the time of Bankman-Fried's trial in the fall of 2023, the FTX estate had a positive net asset value in the billions of dollars, thanks to the rebound in the overall crypto market and the spectacular performance of some of the investments Bankman-Fried had made. The judge in Bankman-Fried's case, while allowing the government to assert repeatedly throughout the trial that there was an $8 billion hole in FTX and customers would never be repaid, ruled that the defense was not permitted to introduce evidence to refute that claim. That

[1] Kevin O'Leary on *Money Rehab*, September 15, 2025, https://open.spotify.com/episode/5fbtvEboTaGZHPqHvkL1jw?si=4f9bc616015f435b&nd=1&dlsi=12a1dd23ab134ac5.

[2] Ian Ayres & John Donohue, "FTX Was Never Really Bankrupt," *Project Syndicate*, January 26, 2024, https://www.project-syndicate.org/commentary/ftx-never-really-bankrupt-can-make-creditors-and-customers-whole-by-ian-ayres-and-john-donohue-2024-01?barrier=accesspaylog. We noted in that piece that we are colleagues and friends of the parents of FTX founder Sam Bankman-Fried.

ruling is one of the many that the defense has challenged in its appeal of the conviction, which will be argued before the Second Circuit Court of Appeals on November 4th.

The unusual spectacle of a supposedly bankrupt company repaying 100 cents on the dollar with interest highlights the government's extraordinarily punitive response to the collapse of FTX, compared to a host of other recent corporate failures in the financial sector. Consider by way of contrast the collapse of Silicon Valley Bank (SVB) in March 2023, five months after FTX imploded. Both failures followed similar patterns—rapid growth, concentrated customer bases, asset-liability mismatches, and devastating "bank runs" triggered by public loss of confidence. Yet the legal and financial consequences could not have been more different. SVB's collapse required an extraordinary government bailout that socialized losses of roughly $20 billion, while no executives faced criminal charges. Meanwhile, FTX's collapse—in which customer claims in bankruptcy are being repaid with interest from the company's own assets—led to the prosecution and 25-year imprisonment of Sam Bankman-Fried. This stark disparity in treatment reveals troubling questions about prosecutorial priorities, the rush to judgment in high-profile cases, and whether a substantial injustice has been committed.

The Parallel Structure of Two Collapses

The fundamental mechanics underlying both failures were remarkably similar. SVB experienced explosive growth during the pandemic, with deposits tripling from 2020 to 2022, while serving a highly concentrated customer base of technology startups and venture capital firms. The bank invested the balance of customer funds in long-term government securities and mortgage-backed securities. Both forms of investment created a classic duration mismatch—short-term liabilities to customers backed by long-term assets vulnerable to fluctuating valuations due to interest rate changes and defaults.

FTX's collapse followed an analogous pattern. The exchange grew rapidly from launch in 2019 to become the world's second-largest cryptocurrency platform by 2021, with a $40 billion market valuation for the International and US exchanges combined.[3] Like SVB's concentrated investments in tech startups, FTX had concentrated exposure through its relationship with Alameda Research, the trading firm that served multiple roles for the exchange including market maker and payment processor.[4] When crypto markets crashed in 2022, Alameda's asset values fell approximately 70-80%,[5] creating liquidity pressures similar to SVB's underwater securities portfolio.

Both institutions faced the same grim sequence: asset devaluation, followed by public expressions of concern that triggered massive withdrawal demands, culminating in liquidity crises that forced a suspension of withdrawals. SVB's attempt to raise capital by announcing a

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[3] FTX $32 billion, FTX US $8 billion (https://www.cnbc.com/2022/01/31/crypto-exchange-ftx-valued-at-32-billion-amid-bitcoin-price-plunge.html).

[4] "FTX didn't have its own bank accounts, so it used Alameda bank accounts" (Wang's testimony, trial transcript, p. 456). The bank knew that Alameda acted as a payment processor for FTX (https://x.com/rsalame7926/status/1812109005868933198), as did many customers (https://x.com/SiegeRhino2/status/1593124406121082880).

[5] Bankman-Fried says 80% (https://sambf.substack.com/p/ftx-pre-mortem-overview).

$1.8 billion loss on the sale of securities spooked depositors, leading to $42 billion in withdrawal requests in a single day. Similarly, a tweet from Binance CEO Changpeng Zhao questioning FTX's financial stability triggered $5 billion in withdrawals over a two-day period, exhausting the exchange's liquid assets on hand.

The parallels extend to risk management failures. SVB's leadership failed to hedge against interest rate risk despite clear warnings, investing heavily in long-term U.S. treasuries and mortgage-backed securities that lost value when the Federal Reserve hiked interest rates in 2022 to combat inflation. FTX leadership similarly failed to hedge against a drop in crypto prices[6] and to appreciate the growing debt in what is referred to as the "fiat@" account—a payment processing arrangement that had passively accumulated an $8 billion liability as customer deposits outpaced withdrawals.[7] These may constitute negligence worthy of civil liability or regulatory sanctions, but the criminal law requires proof of intent to defraud.

The analogy to banks may at first glance seem misplaced. Banks' central business model is to reloan customer deposits to other customers at a profit. Typical brokerages are different. Vanguard or Fidelity can't take the money you thought you had invested in an index fund and lend it to another customer. But exchanges that allow customers to trade on margin, as FTX did, are different. The whole purpose of a margin exchange is to permit customers to finance a portion of their purchases on the exchange with assets borrowed from other customers. FTX's terms of service authorized such loans with regard to its margin account customers who opted for FTX margin accounts. A substantial majority of the funds deposited on FTX came from customers who opted into the margin trading program. To do so, they had to agree to Section 16.4 of the terms of service, which governed margin traders. The provision clearly stated that Under certain market conditions, it may become difficult or impossible to liquidate a position [and] there is no assurance or guarantee that any such program activities will be sufficient or effective in liquidating your position. As a result, you may lose all of your Assets or incur a negative balance in your Account. In addition, even if you have not suffered any liquidations or losses, your Account balance may be subject to clawback due to losses suffered by other Users."[8]

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[6] "Another topic in the Google Doc was 'hedging' as a top priority. That referred to whether Alameda should go further in hedging its positions, such as selling crypto and buying Nasdaq futures. Ellison said she was skeptical and didn't do anything about it." (https://www.cnbc.com/2023/10/12/caroline-ellison-cross-examination-in-bankman-fried-fraud-trial-.html). "Sam mentioned the possibility of——of selling short some S&P 500 futures, and then a few days after that, the price of a bunch of cryptocurrencies fell, and then after that, Sam sent a bunch more messages being angry at Alameda for not doing——for not doing that." (Wang's testimony, trial transcript, p. 562, https://storage.courtlistener.com/recap/gov.uscourts.nysd.590939/gov.uscourts.nysd.590939.358.0.pdf).

[7] "Q. Now, in the months following June 2022, there was a project to get a clearer picture of what Alameda's net asset value was, right? A. Yes. Q. And that included getting a clearer picture of the fiat@ liability that was owed by Alameda? A. Yes. Q. And I think by November of 2022, after that project had been completed, I think you estimated the fiat@ liability was roughly negative 8 billion. A. In November, yes . . . Q. All right. But that would include getting a better accounting for the fiat deposits and withdrawals on the Alameda bank accounts, right? A. Well, by 2022——by 2022, we were no longer using——FTX was no longer using Alameda bank accounts. Q. Right. It had its own bank accounts by that point, right? A. Yes. Q. But you had the issue with the fiat@ liability still existing, right? A. Yes." (Wang's testimony, trial transcript, pp. 527-555, https://storage.courtlistener.com/recap/gov.uscourts.nysd.590939/gov.uscourts.nysd.590939.358.0.pdf).

[8] https://www.dropbox.com/scl/fi/jg5cq53yaf9b86h4h80nh/FTX-Terms-of-Service.pdf?rlkey=bdu464oxicubdr4d6r52vynpu&dl=0

The terms of service were expressly governed by English law. But the judge refused to admit expert testimony about what was permissible under FTX's terms of service. A defendant's expert, Lawrence Akka, was prepared to testify that under UK law, the loans to Alameda—and the uses that Alameda made of the funds—were permissible. To quote Akka: "FTX was obliged to honour customer withdrawals (i.e. to repay the debt of fiat currency that it owed), but was not constrained to use fiat currency for any particular purpose in the interim."[9] This doesn't rule out the possibility that FTX breached its civil duty to its margin customers by allowing for excessive lending to Alameda—albeit now satisfied by the full payments in bankruptcy—but it does refute the idea that any borrowing of customer funds was blatant theft under criminal law.

The Vastly Different Financial Outcomes

Despite these structural similarities, there were two huge differences between the two failures. Financially, SVB was not only unable to meet immediate demands for liquidity. It was also insolvent, meaning its liabilities exceeded its assets. As a result, SVB's collapse threatened systemic financial stability and required an unprecedented government intervention. The FDIC's decision to guarantee all deposits including those above the $250,000 insurance limit cost the Federal Deposit Insurance Fund approximately $20 billion.

In stark contrast, a financial analysis done at the request of the Debtors after the FTX exchange's closure confirmed that at the height of the crisis and the temporary low point of asset value, the exchange remained solvent, with a positive net asset value.[10] The subsequent recovery in cryptocurrency markets along with Bankman-Fried's prescient venture investments in many of the most successful startups of the past five years[11] left the Debtor Estate with enough funds to reimburse customers' petition-date claims in full with 18% interest, with billions left over.[12]

Criminal Charges: The Disparity in Treatment

While the financial harm of the SVB collapse was far greater, the government, viewing the SVB case as a classic example of a loss triggered by bad luck and bad judgment, declined to bring criminal charges against any SVB executives.

In contrast, federal prosecutors moved with extraordinary speed to indict Bankman-Fried and his associates. For federal white-collar criminal cases in 2022, the average time it took the

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[9] Expert Notice of Lawrence Akka, August 16, 2023, https://storage.courtlistener.com/recap/gov.uscourts.nysd.590939/gov.uscourts.nysd.590939.236.1.pdf.

[10] At petition-date prices: ~$14.5B of assets, https://storage.courtlistener.com/recap/gov.uscourts.deb.188450/gov.uscourts.deb.188450.507.1.pdf, $9.2B of customer liabilities, https://storage.courtlistener.com/recap/gov.uscourts.deb.188450/gov.uscourts.deb.188450.15521.0.pdf. Steven Church, "FTX has billions more than needed to repay bankruptcy victims," May 7, 2024. https://www.bloomberg.com/news/articles/2024-05-07/ftx-has-billions-more-than-needed-to-repay-bankruptcy-victims.

[11] https://x.com/HarryStebbings/status/1923151410964623754.

[12] https://www.bloomberg.com/news/articles/2024-05-07/ftx-has-billions-more-than-needed-to-repay-bankruptcy-victims.

government from opening an investigation to seeking an indictment was 452 days.[13] In Bankman-Fried's case, it took 33 days.[14] A day after withdrawals were halted on the FTX exchange, the government launched a criminal investigation of the co-founders.[15] Within the week,[16] prosecutors were in negotiations with Bankman-Fried's three co-founders to get them to testify against Bankman-Fried in return for vastly reduced sentences, indicating that they had already fixed on Bankman-Fried as their real target. Three weeks later, they had secured cooperation agreements with two[17] of the three co-founders and an indictment of Bankman-Fried and had him arrested and imprisoned in the Bahamas. This "prosecutorial equivalent of breaking the sound barrier"[18] suggests the government knew the outcome it wanted from the start and was determined to foreclose any public doubts or discussion before they began. No doubt cognizant of the risk the jury would react badly to their unseemly rush to judgment, the government moved preemptively to bar the defense from introducing evidence at trial concerning "the reasons for or timing of the defendant's prosecution and extradition" on the ground that it would serve only to "distract the jury from evidence of the defendant's guilt or to encourage jury nullification."[19]

While the SVB executives had made catastrophically poor risk-management decisions, the government gave them the benefit of an assumption that they had not acted with criminal intent. Given the speed at which the government moved against Bankman-Fried, it is clear that they did not afford him the benefit of any doubt. This is particularly striking, given Bankman-Fried's very public commitment to "earning to give"—amassing wealth specifically for philanthropic purposes. His fellow co-founders had similarly altruistic motivations. Instead of asking themselves why someone committed to giving away his wealth would deliberately steal from customers, the prosecution successfully moved to exclude evidence of Bankman-Fried's philanthropic commitments from the trial.[20]

The defense cannot raise the government's targeting of Bankman-Fried in their appeal. But the facts are out there, and worth serious consideration. Prosecutors in this country have more power over our lives than any other government actors, and almost unbridled discretion in selecting whom to go after and what crimes to charge them with. As Justice (then Attorney General)

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[13] https://web.archive.org/web/20230121090733/https://trac.syr.edu/reports/708/.

[14] The indictment was made public on December 12th simultaneous with Bankman-Fried's arrest, but the government had to have gone to the grand jury to obtain it at least a couple of days earlier. Similarly, while Ellison's and Wang's allocutions were not made public until December 15th, the government would not have gone to the grand jury without being confident they had an agreement, since their pleas and allegations against Bankman-Fried were the only "evidence" of a crime the government had at the time.

[15] Withdrawals were halted on November 8 and the government began their investigation on November 9 https://review.law.stanford.edu/wp-content/uploads/sites/3/2025/02/Lipson-Skeel-77-Stan.-L.-Rev.-369.pdf

[16] See Wang's testimony (Tr. 471): "Q. How many days passed between FTX's bankruptcy and when you came in and met with the government? A. Six days."

[17] https://fm.cnbc.com/applications/cnbc.com/resources/editorialfiles/2022/12/21/1671676065196-Caroline_Ellison_Plea_Agreement.pdf, https://fm.cnbc.com/applications/cnbc.com/resources/editorialfiles/2022/12/21/1671676058536-Gary_Wang_Plea_Agreement.pdf.

[18] Ankush Khardori, *The Indictment of SBF is a Bombshell: Federal Prosecutors Broke New Ground with This Shockingly Fast Arrest*, New York (Dec. 13, 2022).

[19] ECF No. 204, p. 36. Judge Kaplan granted the motion. EFC No. 289, pp. 10-11.

[20] Trial transcript, p. 955. See, Barbara Fried, "The Trial of Sam Bankman-Fried," https://barbarafried1110.substack.com/p/the-trial-of-sam-bankman-fried.

Robert Jackson remarked almost a century ago, "It is in this realm, in which the prosecutor picks some person whom he dislikes or desires to embarrass, or selects some group of unpopular persons and then looks for an offense, that the greatest danger of abuse of prosecuting power lies."[21]

[21] https://www.justice.gov/sites/default/files/ag/legacy/2011/09/16/04-01-1940.pdf.